

policy, as shown by its treatment of the large sums received in the form of income-tax refunds in the three preceding years. These receipts were not reported as current income but were credited directly to surplus.

Profits from Sale of Marketable Securities. Profits realized by a business corporation from the sale of marketable securities are also of a special character and must be separated from the ordinary operating results.

Examples: The report of National Transit Company, a former Standard Oil subsidiary, for the year 1928 illustrates the distorting effect due to the inclusion in the income account of profits from this source. The method of presenting the story to the stockholders is also open to serious criticism. The consolidated income account for 1927 and 1928 was stated in approximately the following terms:

Item	1927	1928
Operating revenues	\$3,432,000	\$3,419,000
Dividends, interest, and miscellaneous income	463,000	370,000
Total revenues	\$3,895,000	\$3,789,000
"Operating expenses, including depreciation and profit and loss direct items" (in 1928 "including profits from sale of securities")	3,264,000	2,599,000
Net income	\$631,000	\$1,190,000
(Earned per share)	(\$1.24)	(\$2.34)

The increase in the earnings per share appeared quite impressive. But a study of the detailed figures of the parent company alone, as submitted to the Interstate Commerce Commission, would have revealed that \$560,000 of the 1928 income was due to its profits from the sale of securities. This happens to be almost exactly equal to the increase in consolidated net earnings over the previous year. Allowing on the one hand for income tax and other offsets against these special profits but on the other hand for probable additional profits from the sale of securities by the manufacturing subsidiary, it seems likely that all or nearly all of the apparent improvement in earnings for 1928 was due to nonoperating items. Such gains must clearly be eliminated from any comparison or calculation of *earning power*. The form of statement resorted to by National Transit, in